BOARD OF DIRECTORS · STRATEGY REVIEW

Returning Northwind to profitable growth

Diagnostic and recommended path, 2026–2029

October 2026 Strategy team

Your Company

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Northwind can restore a 9% EBIT margin by 2029 if it fixes the core first and funds growth from the savings

1. **Growth has stalled while costs kept rising.**
   Revenue grew 6% a year in 2019–23 but only 0.7% in 2025; EBIT fell from €312m to €249m.

2. **The decline is concentrated.**
   Apparel and home & living earn 3% or less; grocery is stable; marketplace and services earn 9–12% but are sub-scale.

3. **Four moves add €260m EBIT.**
   Pricing and assortment, store labour, procurement, and scaling the marketplace, sequenced so early savings fund later investment.

4. **The plan needs €335m capex over three years** and pays back in 2.4 years; the apparel exit is optional and decided in Q2 2027.

5. **We ask the board to approve** the transformation office, the pilot budget of €40m and the 2027 wave plan.

Source: Northwind management accounts; team analysis (illustrative data)

Agenda

01 **Where we stand**
performance and root causes

02 What we recommend
four moves

03 How we get there
roadmap, investment, governance

04 Decisions requested today

01

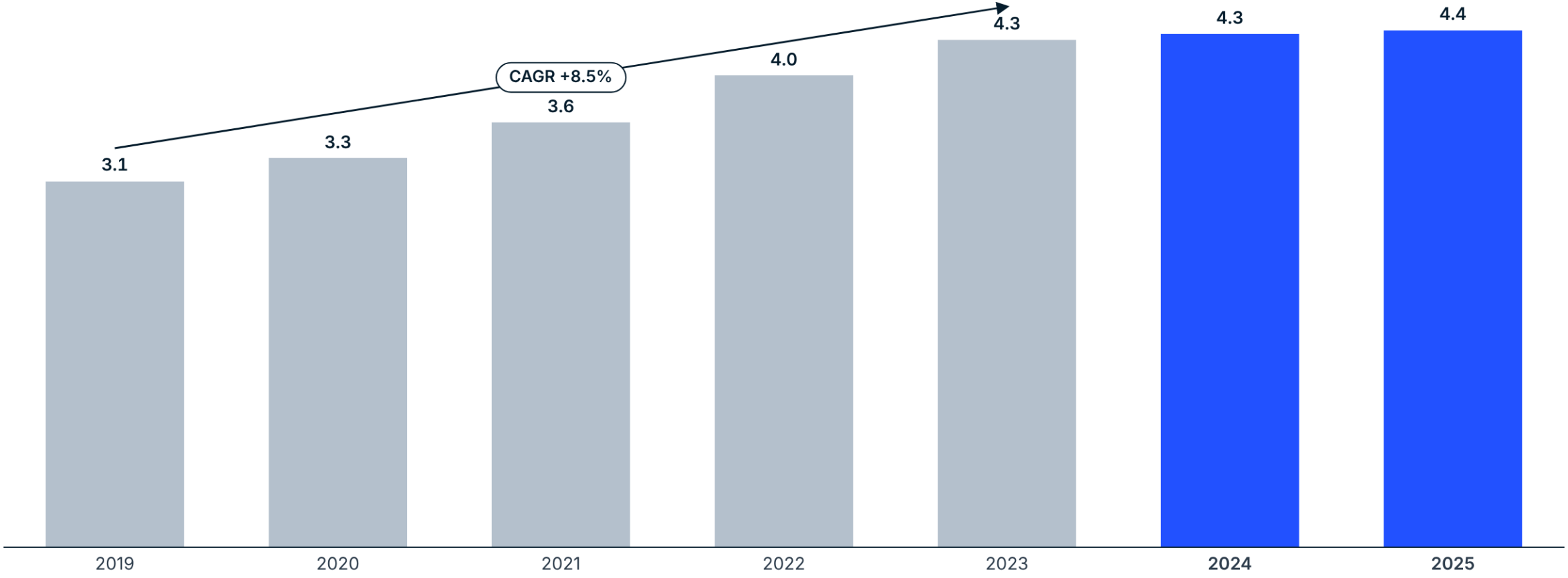
Where we stand

Performance since 2019 and what is driving the decline

WHERE WE STAND

Revenue grew 6% a year until 2023, but growth has stalled for the last two years

Group revenue, € bn

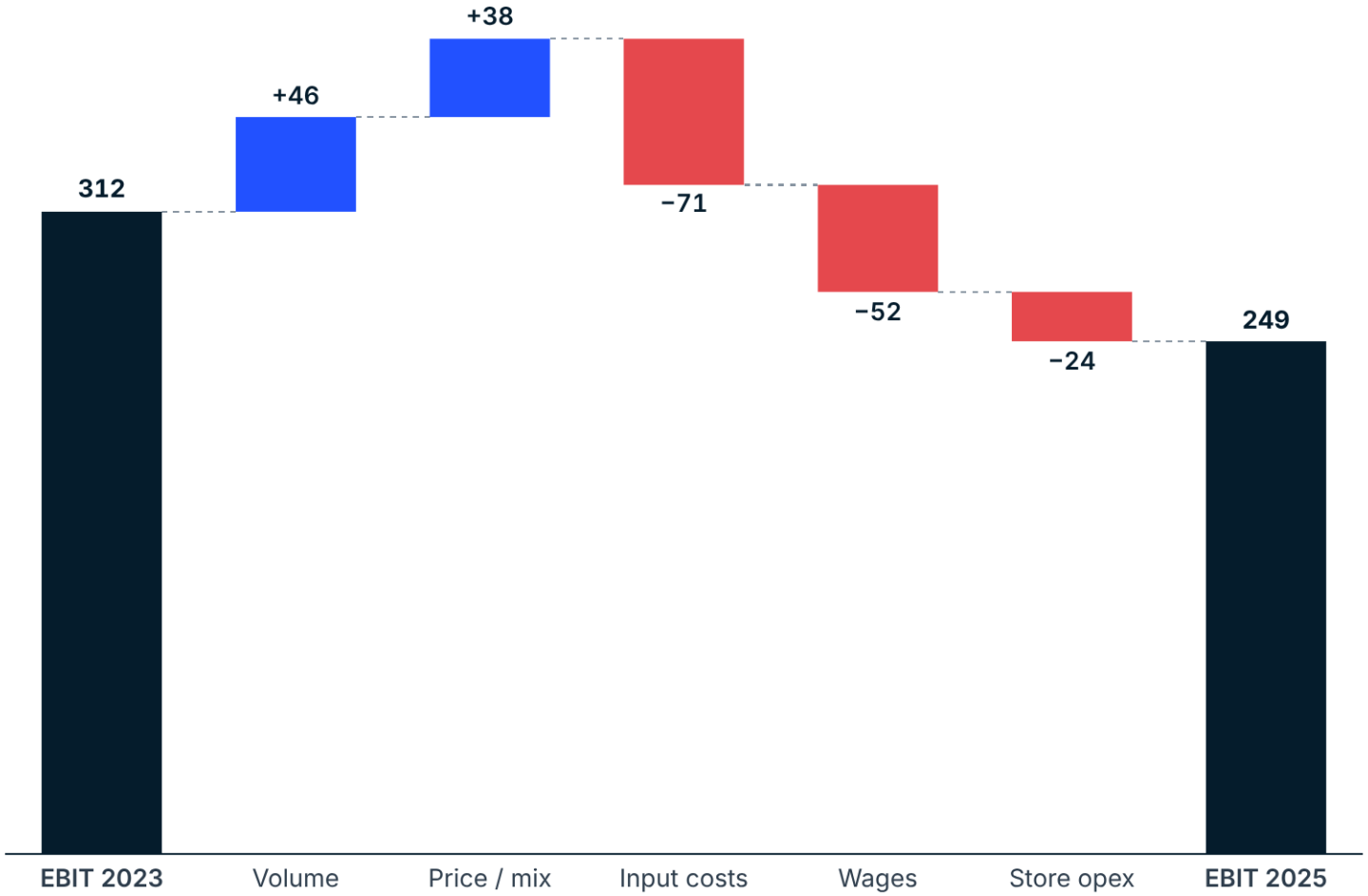


Without action, 2026 revenue is expected to be flat while costs keep rising 3–4% a year

Source: Northwind management accounts; team analysis (illustrative data)

Input costs and wages wiped out volume and price gains, cutting EBIT by €63m in two years

EBIT bridge 2023–25, € m



Key takeaways

1 **Cost inflation is the main driver.**
Input costs and wages took €123m, twice the commercial gains.

2 **Price did not keep up.**
Northwind passed through 45% of cost inflation vs. ~70% for peers.

3 **Store opex keeps creeping up** as volumes per store fall.

[1] Before one-off items (restructuring €14m in 2024)

Source: Northwind management accounts; team analysis (illustrative data)

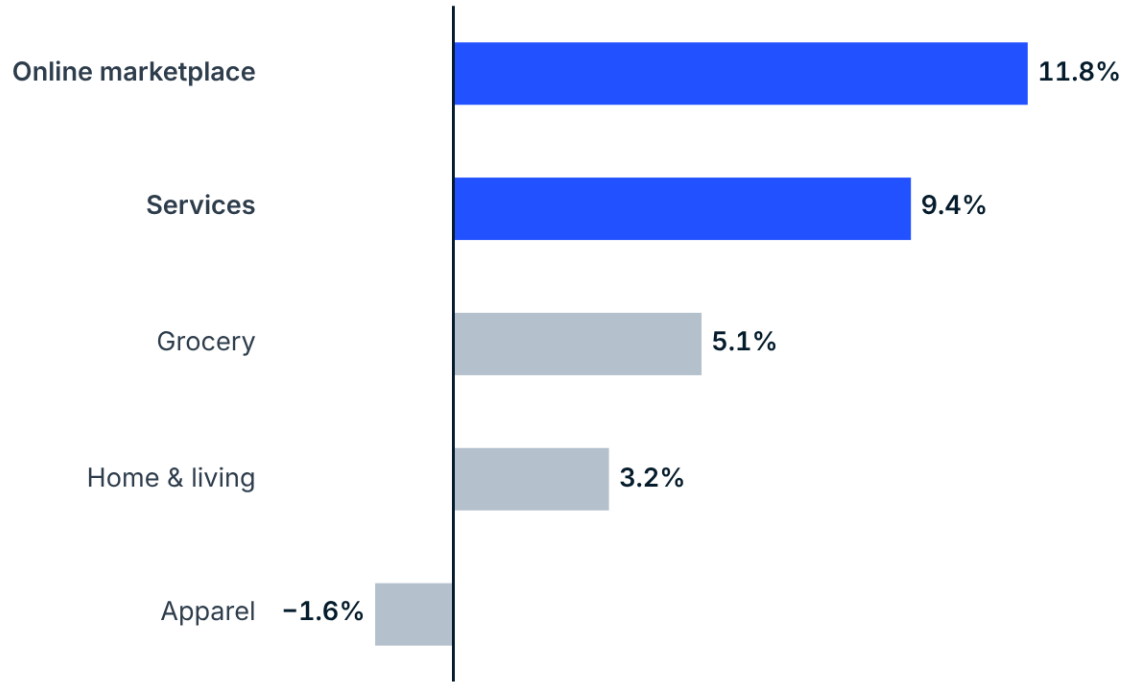
Most profit already comes from segments that are small today: marketplace and services

Revenue mix 2025



Grocery	**2.0bn**	47%
Home & living	**1.0bn**	22%
Apparel	**0.6bn**	14%
Online marketplace	**0.5bn**	12%
Services	**0.2bn**	5%

EBIT margin by segment, 2025



Source: Northwind management accounts; team analysis (illustrative data)

WHERE WE STAND

Like-for-like sales have trailed the market for six quarters while customers still rate us well

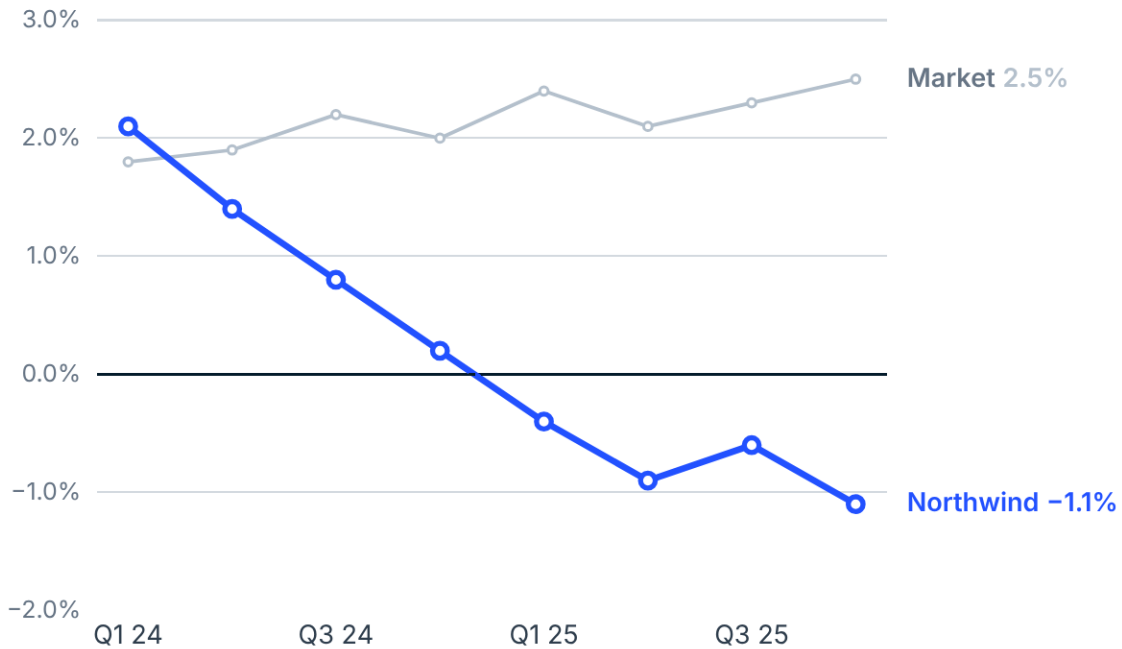
€4.38bn
Revenue 2025
+0.7% vs. 2024

5.7%
EBIT margin
▼ −1.6 pp vs. 2023

€182m
Free cash flow
▼ −24% vs. 2023

61
Net promoter score
▲ +4 pts

Like-for-like sales growth, % vs. prior year



What we hear from customers

- Value perception is the top reason for switching (38% of lapsed customers)
- Range is seen as **too broad and too similar** to discounters
- Service and store staff remain a clear strength (NPS +4 pts)

Source: Northwind finance; customer survey Q3 2025, n = 2,400 (illustrative)

02

What we recommend

Four moves that fix the core and fund growth

WHAT WE RECOMMEND

Four moves add €260m EBIT by 2029, with the core fixes funding the growth moves

+€75m

Price & promotions

Close the price-perception gap on 600 key value items; cut promotion depth by a third.

- Owner: Chief Commercial Officer
- Run-rate by Q4 2027

+€55m

Assortment & private label

Prune 18% of SKUs; raise private-label share from 24% to 32%.

- Owner: Chief Merchandising Officer
- Run-rate by Q2 2028

+€50m

Store labour

Demand-based scheduling and self-checkout in the 200 largest stores.

- Owner: COO
- Run-rate by Q4 2028

+€80m

Marketplace & procurement

Scale third-party sellers to 2.5x and renegotiate indirect spend.

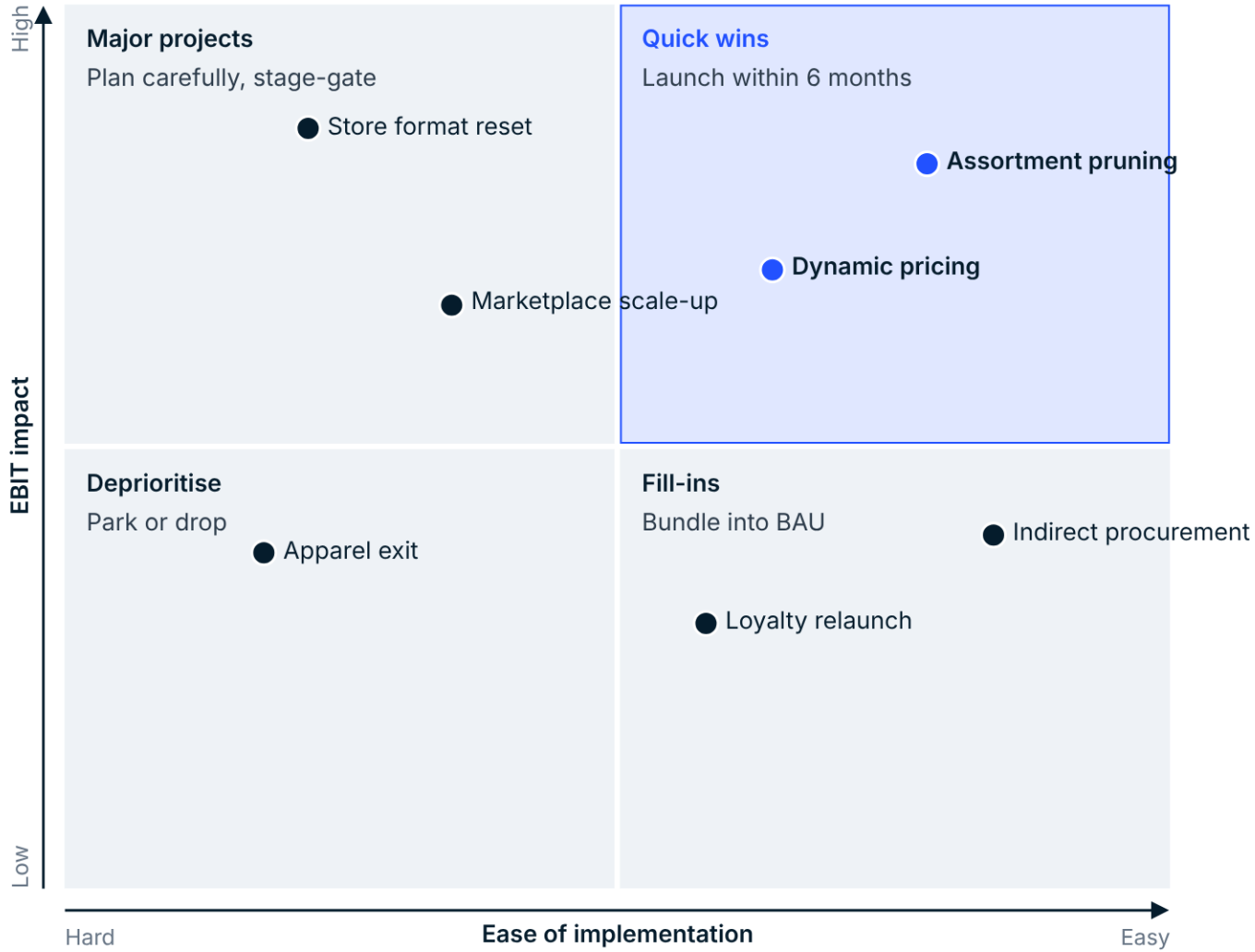
- Owner: CDO and CPO
- Run-rate by Q4 2028

The two core fixes on the left deliver 60% of the value within 18 months and fund the growth moves

Source: Northwind management accounts; team analysis (illustrative data)

WHAT WE RECOMMEND

Pricing and assortment are quick wins; the store reset is the largest but hardest move



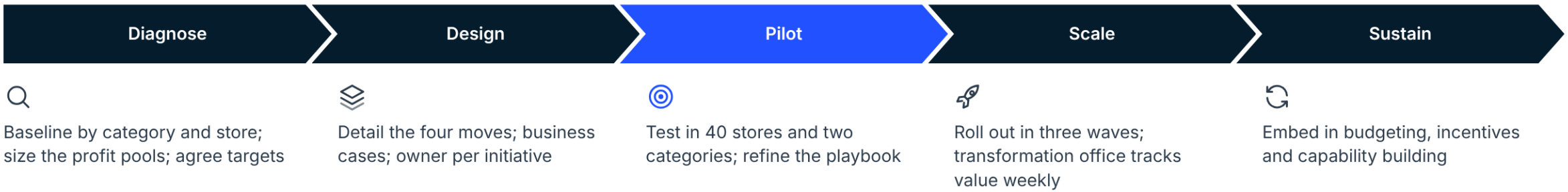
Implications

1. Start with the two **quick wins**: they deliver 50% of the value in year one
2. Stage-gate the **store format reset** after the pilot
3. Decide on **apparel** in Q2 2027 once pruning results are in

Source: Team analysis based on management workshops (illustrative)

WHAT WE RECOMMEND

A five-phase programme moves from diagnosis to scale in 18 months



WHAT WE RECOMMEND

Commercial moves start immediately; store resets ramp up from Q3 2027



Source: Team analysis

WHAT WE RECOMMEND

Fixing the core delivers the most value for the least capital and risk

Assessment of strategic options

Option	EBIT uplift, €m	Capex, €m	Time to impact	Strategic fit	Risk
A. Fix the core (pricing, assortment, cost)	**145**	**40**	**6–12 months**	●	●
B. Scale the online marketplace	60	85	18–24 months	◕	●
C. Reset 120 store formats	55	210	24–36 months	◕	●
D. Exit apparel	18	5	12 months	◑	●
Total, recommended (A + B + C)	**260**	**335**			

Recommendation: pursue A immediately, B and C stage-gated; decide on D in Q2 2027

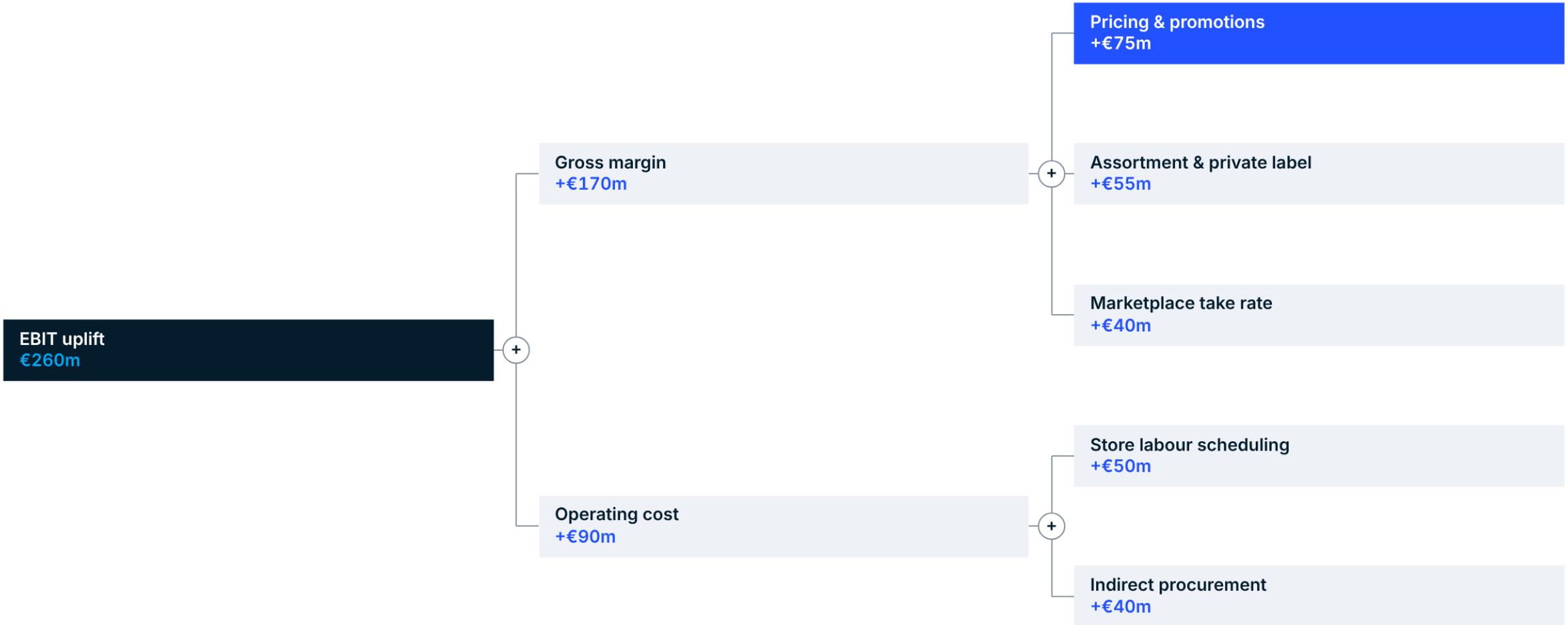
[1] Run-rate EBIT uplift in 2029 vs. 2025 baseline

[2] Harvey balls: fit with the 2030 ambition (full = strong fit)

Source: Northwind management accounts; team analysis (illustrative data)

Gross margin levers account for two-thirds of the uplift

EBIT uplift by driver, 2029 run-rate

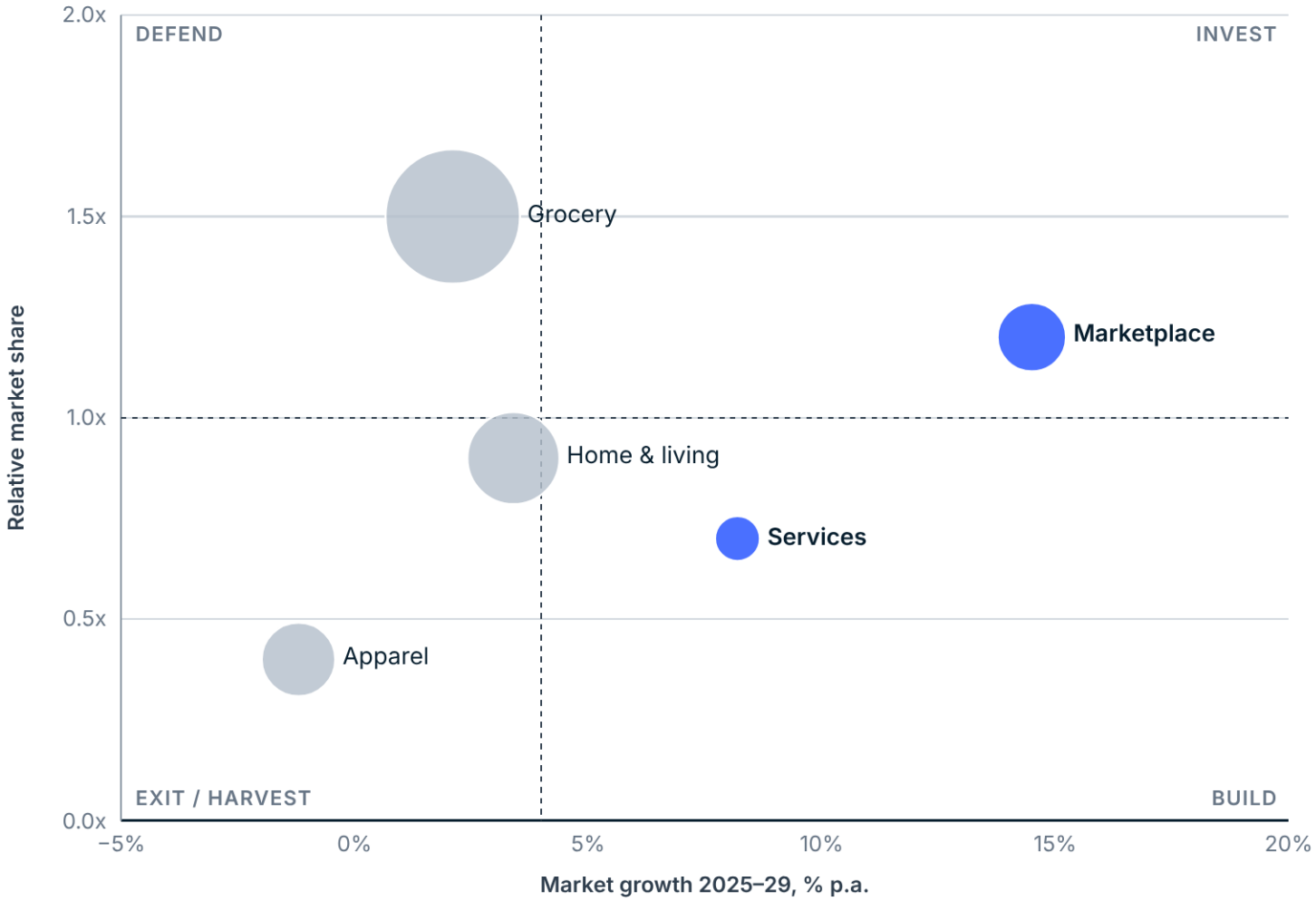


Source: Northwind management accounts; team analysis (illustrative data)

WHAT WE RECOMMEND

Marketplace and services sit in the fastest-growing markets and deserve investment

Bubble size = 2025 revenue



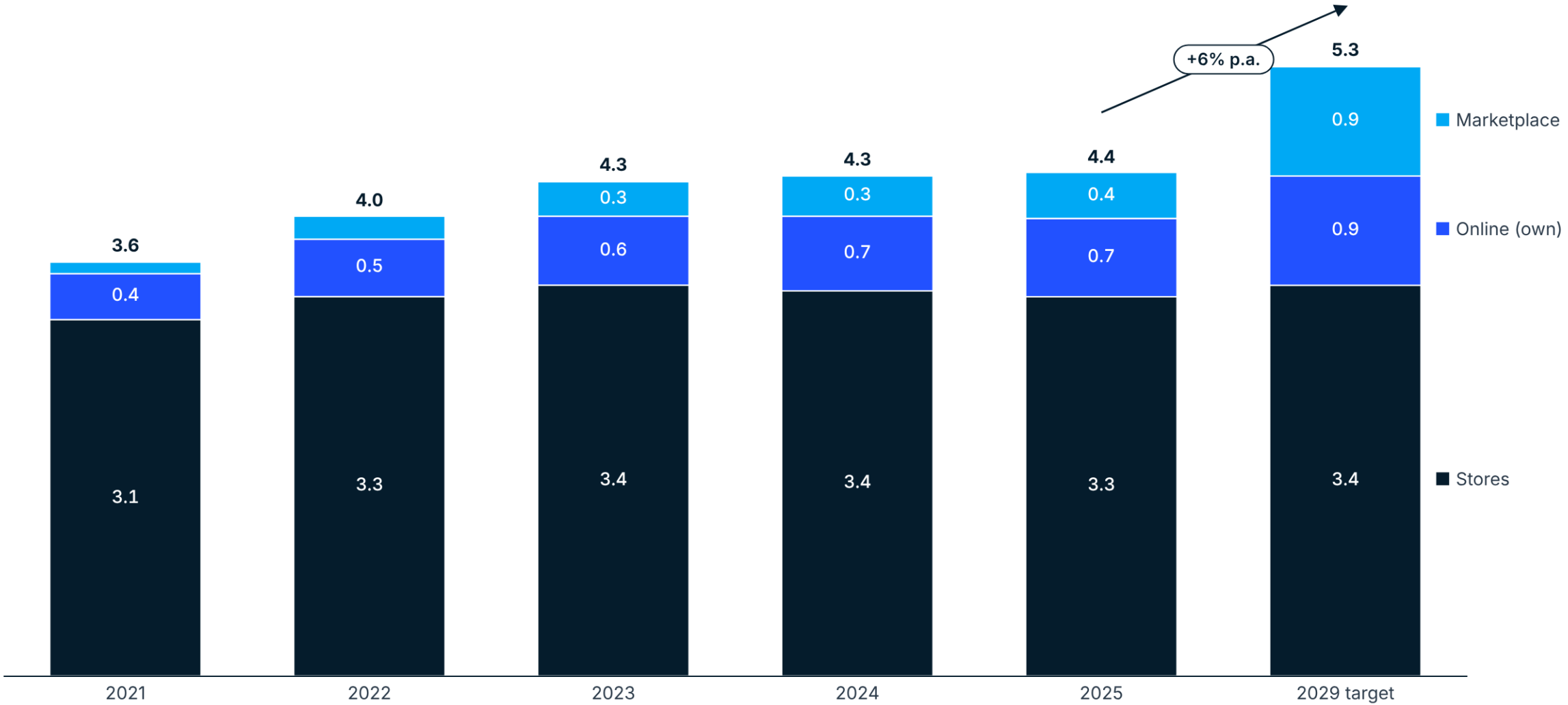
Key takeaways

1. **Invest:** marketplace and services grow 8–15% a year
2. **Defend:** grocery is the cash engine
3. **Harvest:** apparel shrinks and loses share

Source: Euromonitor-style market model; team analysis (illustrative)

Marketplace and own online grow to 30% of sales by 2029

Revenue by channel, € bn



Source: Northwind management accounts; team analysis (illustrative data)

What it adds up to

9.1%

EBIT margin in 2029, up from 5.7% today

€260m additional EBIT, €335m capex, payback in 2.4 years

Decisions requested today

1. Approve the transformation office and its leadership
2. Release the €40m pilot budget
3. Endorse the 2027 wave plan and the Q2 2027 apparel decision point

Jane Doe
Programme lead jane.doe@example.com

John Smith
CFO office john.smith@example.com